

Housing Loan Program

The Housing Loan Program provides comprehensive financing solutions for purchasing, constructing, or renovating residential properties. The program targets a wide range of customer segments, including public sector employees, military and Jordan public security, retirees, private sector employees, business owners, self-employed professionals, and Jordanian expatriates. The program offers flexible repayment periods, high financing ratios, and multiple financing options tailored to customers' housing needs.

Terms and conditions of Housing Loan

1. Target Segments

The program is available for the following customer categories:

- Public sector employees, military and Jordan public security, and customs.
- Retirees.
- Private sector employees.
- Business owners and self-employed professionals.
- Jordanian expatriates.

2. Age Requirements

- Minimum age: 21 years.
- Maximum age at application: 65 years.
- The customer's age must not exceed 75 years at the end of the loan tenor.

Jordanian Expatriates

- Minimum age at granting: 25 years.
- Maximum age at the last installment: 60 years.

3. Minimum Income Requirements

The minimum income requirement depends on the customer category:

- Public sector employees, military and Jordan public security, and customs & Retirees & Private sector employees: Minimum JOD 700.
- Business owners, professionals: Minimum JOD 2,000.
- Jordanian expatriates: Minimum JOD 2,000 excluding housing allowance.

4. Minimum Employment or Business Period

- **Public Sector & Military and Jordan public security**
 - Minimum 6 months of service
- **Retirees**
 - At least one salary transfer is required.
- **Private Sector Employees**
 - TML companies: 3 months confirmed employment.
 - Non-TML companies: 12 months.
- **Business Owners & Professionals**
 - Minimum 24 months of operation.
- **Jordanian Expatriates**
 - Minimum 12 months of service.

5. Maximum Employment Conditions

- No maximum service limit, except for expatriates, the customer's age must not exceed 60 years at the final installment date.

6. Excluded Professions

The following professions are excluded from financing eligibility:

- Cleaners.
- Office messengers.
- Drivers.
- Municipality employees.
- Daily wage workers.

7. Required Guarantees

- **Public Sector, Military, Jordan public security, intelligence, and customs & Retirees & Private Sector**
 - Official salary transfer to the bank.
 - First-degree mortgage over the financed property in favor of the bank.

- Business Owners & Professionals & Jordanian Expatriates
 - First-degree mortgage over the financed property in favor of the bank.

8. Loan Tenor

- Up to 25 years the financing ratio does not exceed 90%.
- Up to 20 years if the financing ratio exceeds 90%.

Except for Jordanian Expatriates & Regular Segment Maximum tenor: 20 years.

9. Maximum Number of Loans

- Customers may obtain a maximum of two housing loans.

10. Minimum Loan Amount

- The minimum financing amount is JOD 25,000.

11. Debt Burden Ratio

- Maximum debt burden ratio: 50% of total obligations.

Based on Approved Net Income

- *Income Between JOD 700 – 1,999*
 - Maximum 50% of total obligations + Credit card facility may be granted within the approved salary limit.
- *Income of JOD 2,000 and Above*
 - Maximum 50% of total obligations + 5% for credit card.

12. Maximum Loan Amount by Customer Segment

- Regular Segment
 - Up to 50 times the customer's salary.
- Upper Regular Segment
 - Up to 60 times the customer's income.

- Maximum financing: JOD 200,000.
- **Select Segment**
 - Up to 60 times the customer's income.
 - Maximum financing: JOD 500,000.
- **Private Banking Segment**
 - Up to 60 times the customer's income.
 - Maximum financing: JOD 750,000.

13. Financing Ratios

- **Salary Transfer Customers**
 - Up to 100% financing.
 - Maximum financing amount: JOD 250,000.
- **Business Owners, Professionals & Expatriates**
 - Up to 90% financing.
- **Loans Exceeding JOD 250,000**
 - Maximum financing ratio is 90% for all customer segments.
- **Regular Segment**
 - Maximum financing ratio: 80%.

14. Property Financing Conditions

The following conditions apply:

- Proof of down payment through receipt, sale agreement, or deposit of the financing difference into the customer's account.
- The property must be for residential purposes only.
- Common/shared land properties are not eligible for financing.

15. Property Valuation

- **Properties Valued Up to JOD 100,000**
 - One property valuation is sufficient.

- **Properties Exceeding JOD 100,000**
 - Two independent property valuations are required.
 - The average valuation is adopted.
 - If the variance exceeds 20%, the lower valuation is adopted.
- **Unlicensed Roofs and Gardens**
 - Their value may be accepted if approved by the Real Estate Department.

16. Required Property Documents

Required documents include:

- Preliminary sale agreement.
- Recent title deed for the land or apartment issued within the last 3 months.
- Land plot plan.
- Zoning location plan.
- Subdivision statement or occupancy permit.

Construction Cases

Additional documents include:

- Engineering plans.
- Contractor agreement.
- Construction commencement permit.

17. Income Verification Documents

- **Salary Transfer Customers**
 - A salary certificate showing the gross salary and net salary transferred to the bank if the salary has been fixed for the last 3 months, or salary slips for the last 3 months showing the gross salary, net salary, and deductions applicable to the customer (6 slips in case of incentives or overtime payments).
 - Commitment letter and end-of-service transfer undertaking addressed to the bank.
 - Certified bank statement for the last 6 months.
 - Social Security Statement for employees of TML companies if the employment period is less than 24 months, excluding Select + PB segments.
 - Social Security statement for all employees of Non TML companies, regardless of the employment period .
- **Business Owners**
 - Commercial registration.

- Valid professional license.
- Bank statement for the last 6 months.
- **Professionals**
 - Professional practice license.
 - Bank statement for the last 6 months.
- **Jordanian Expatriates**
 - Salary Transfer Customers: Salary certificate and salary slip for the last 3 months + Bank statement for the last 6 months.
 - Business owners: Recent commercial registration + Financial statements for the last two years.
 - Credit report from the country of residence.
 - QR code authentication may replace official attestation where available.
 - Otherwise, salary certificates and commercial registrations must be certified by the relevant authorities and the Jordanian embassy.
 - IRS tax statement is required for expatriates residing in Canada, the United States, and the United Kingdom.

18. Additional Housing Loan

Customers may obtain an additional housing loan under the following conditions:

- Second-degree mortgage over the property with 100% coverage of the new loan amount.
- Maximum repayment period: 8 years.
- Financing purpose must be property maintenance or renovation.
- At least 36 installments of the existing housing loan must be paid without delay.
- Financing ratio must not exceed 80%.
- The top-up amount must not exceed 30% of the outstanding balance of the existing loan.

19. 40/60 Housing Finance Program

This program offers partial financing under the following conditions:

- Financing up to 50% for Regular and Upper Regular segments.
- Financing up to 60% for Select and Private Banking segments.
- Minimum property value: JOD 100,000.
- Maximum repayment period: 20 years.
- Maximum financing amount: JOD 250,000.
- Financing between relatives is not allowed.
- The program includes ready residential properties and residential land within zoning areas.

Required Documents

- Standard income verification documents according to the program.
- Commercial registration and professional license for business owners.
- Professional practice license for professionals.
- Deposit of 90% of the financing difference into the customer's account before disbursement.

20. Land Financing Program

The program includes:

- Financing up to 70% for land located within zoning areas.
- Land outside zoning areas may be financed up to 50% provided that:
 - Land price is not less than JOD 100 per square meter.
 - The land is located in Amman, Salt, or Madaba.
 - Approval from the Real Estate Department is obtained.
- Maximum repayment period: 8 years.
- Financing is limited to residential land only.

21. Construction Loans

The program offers:

- Financing up to 100% of construction costs.
- Total financing for land and property combined must not exceed 75%.

Disbursement Mechanism

- Loan is disbursed in stages according to construction progress.
- A property valuation must be submitted before each payment.
- Financing ratio must remain within the approved limit throughout construction.

22. Buying Out Housing Loans from Other Banks

• Buy-Out Program – Full Documentation

Conditions include:

- All standard housing loan program conditions apply.
- Financing ratio up to 90% for all customer segments.
- Additional financing up to 20% of the outstanding balance may be granted for renovation or maintenance.

- No minimum age requirement for the existing loan.
- Settlement cheque must equal at least 105% of the outstanding loan balance.
- CRIF report and Credit Review Department approval are required.

Fee Exemptions

Customers may be exempted from:

- Granting commission.
- Mortgage registration fees.
- Property valuation fees.

This exemption applies subject to the customer committing to remain with the bank for 8 years.

• Buy-Out Program – Minimum Requirements

Conditions include:

- Existing loan must be at least 36 months old.
- Customer must have a clean repayment history with no delays exceeding 29 days.
- Financing ratio up to 80% according to clients segment
- Additional financing up to 20% may be granted for renovation or maintenance.
- Maximum loan amount: JOD 300,000.
- New installment must not exceed 110% of the current installment.
- Program targets business owners, professionals, residents, and Jordanian expatriates.

Any exceptions are transferred to the Full Documentation Buy-Out Program.

23. Grace Period

- Customers may receive a grace period of up to 90 days without interest charges.

24. Credit Approval Validity

- The credit approval remains valid for 45 days.

25. Fees and Charges

The following fees apply:

- Property valuation fees are paid by the customer.
- Stamp fees: 0.003 deducted from the net loan amount.
- Granting commission for Top-up loans: 1% of the additional amount.
- Free life insurance covering the outstanding loan balance.
- Mortgage registration fees are paid by the customer.

26. Early Settlement

- No early settlement fee if one year or less remains until maturity.
- Otherwise, a 1% fee applies.

27. Additional Fees

- Installment postponement fee: JOD 5.
- Amendment of financing terms or guarantees: JOD 5.
- Late payment fee: JOD 10.
- No fee for releasing property or vehicle mortgages.

28. Approved Property Valuation Offices

- **Amman Governorate**
 - Ziad Engineering Consultancy Office – Eng. Amjad Al Kurdi.
 - Eng. Majed Matouq Office.
 - Eng. Amjad Haddad Office.
- **Central Governorates**
 - Alyan Surveying Office.
 - Al Janoub Surveying Office.
 - Al Silawi Real Estate Office.
 - Al Haq Real Estate Office.
 - Qeem Real Estate Company.
 - Saleh Abu Ghanem Office.
- **Aqaba Governorate**
 - Al Qamar Real Estate Services.
 - Real Estate Expert Zuhair Nasrallah.
- **Northern Governorates**
 - Turki Al Saleh Office.
 - Muhafazah Real Estate Establishment.

- Zarqa Governorate
 - Engineering & Surveying Services Office – Adnan Al Rifai.